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ZTO Express | Asia Pacific

# 1Q26 Results Call: Sustained Positive Management Tone on Earnings Outlook

Reaction to earnings

**Strengthens our thesis**  
Impact to our thesis

**In-line**  
Financial results versus consensus

**Modest revision higher**  
Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- We continue to see upside risks to full-year consensus earnings forecasts.
- Management sees limited impacts on unit economics from fuel cost inflation since May, thanks to continued cost efficiency gain and fuel surcharges.
- Management continues to see industry consolidation going forward.
- We cannot rule out the possibility that BABA could reduce its position in ZTO.
- We expect ZTO's share repurchase to resume later this month.

**Market volume growth outlook** softened in 2026 amid macro challenges. ZTO's 10-13% volume growth forecast is unchanged.

- April volume growth remained in the teens, despite low-single-digit market volume growth.

**Unit cost** reduction is better than expected in 1Q. We expect full-year unit cost decline to exceed expectation earlier this year. Unit cost performance remains outstanding in May, per management, despite fuel cost hikes.

**Retail business:** ZTO has been gaining market share in reverse parcels and has been the leading player in terms of market share. UE for reverse parcels remains moderately higher vs. the average level.

**Shareholder returns:** We expect share repurchases to resume later this month.

**Capex:** Rmb 6bn in 2026.

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ZTO Express (ZTO.N, ZTO UN)

Hong Kong/China Transportation & Infrastructure | China

|                                 |                   |
|---------------------------------|-------------------|
| <b>Stock Rating</b>             | <b>Overweight</b> |
| <b>Industry View</b>            | <b>In-Line</b>    |
| Price target                    | US\$28.50         |
| Up/downside to price target (%) | 21                |
| Shr price, close (May 19, 2026) | US\$23.55         |
| 52-Week Range                   | US\$26.15-16.68   |
| Sh out, dil, curr (mn)          | 791               |
| Mkt cap, curr (mn)              | Rmb126,641        |
| EV, curr (mn)                   | Rmb113,238        |
| Avg daily trading value (mn)    | US\$9             |

| Fiscal Year Ending    | 12/24  | 12/25e | 12/26e | 12/27e |
|-----------------------|--------|--------|--------|--------|
| EPS (Rmb)**           | 12.02  | 11.40  | 13.44  | 15.60  |
| Prior EPS (Rmb)**     | -      | -      | -      | -      |
| EBITDA (Rmb mn)       | 14,086 | 13,980 | 16,003 | 18,553 |
| Net income (Rmb mn)** | 10,150 | 9,513  | 10,895 | 12,651 |
| P/E**                 | 11.9   | 12.8   | 11.9   | 10.3   |
| ROE (%)               | 14.7   | 14.6   | 15.7   | 16.2   |
| EV/EBITDA             | 7.6    | 7.5    | 6.1    | 4.8    |
| Div yld (%)           | 3.6    | 3.3    | 0.0    | 3.5    |
| FCF yld ratio (%)     | 4.4    | 4.8    | 5.7    | 8.0    |

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\*\* = Based on consensus methodology

e = Morgan Stanley Research estimates

Also read:

[ZTO Express: 1Q26: Adj. NP Largely in-Line; Unit GP Expansion Confirmed the Inflection \(19 May 2026\)](#)

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## Valuation Methodology and Risks

### **ZTO Express (ZTO.N)**

Discounted cash flow, probability-weighted 15% bull case, 75% base case, 10% bear case. Greater skew towards the bull case vs bear case reflects ZTO's market leadership in terms of volume and unit profitability. We see a mild probability that our bear case could play out if there are significant disruptions to the competitive landscape from new players joining the industry.

Key assumptions: 13.2% WACC and 3% terminal growth rate.

### **Risks to Upside**

- Faster-than-expected market share gains
- Better cost control
- Peers' weak performance in terms of volume, revenue growth, or profitability
- Improvement in shareholder returns

### **Risks to Downside**

- Continued market share loss
- Industry competition is more intensified than expected
- Market consolidation stagnates

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(as of April 30, 2026)

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| Stock Rating Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1546              | 42%        | 467                              | 51%            | 30%                  | 709                                               | 44%                   |
| Equal-weight/Hold     | 1568              | 43%        | 358                              | 39%            | 23%                  | 715                                               | 44%                   |
| Not-Rated/Hold        | 4                 | 0%         | 0                                | 0%             | 0%                   | 1                                                 | 0%                    |
| Underweight/Sell      | 555               | 15%        | 84                               | 9%             | 15%                  | 202                                               | 12%                   |
| Total                 | 3,673             |            | 909                              |                |                      | 1627                                              |                       |

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ZTO Express (ZTO.N) - As of 05/20/26 GMT in USD  
Industry : Hong Kong/China Transportation & Infrastructure



Stock Rating History: 5/1/21 : 0/I

Price Target History: 3/18/21 : 32.7; 5/14/21 : 37.7; 11/19/21 : 42.4; 5/20/22 : 36.5; 8/18/22 : 38.8; 10/13/22 : 30.5; 2/20/23 : 35.6; 3/16/23 : 37.8; 5/18/23 : 41.5; 9/4/23 : 39.2; 11/17/23 : 34.9; 2/5/24 : 24.5; 3/20/24 : 27.7; 11/20/24 : 26.9; 5/21/25 : 24.2; 7/2/25 : 24.6; 8/22/25 : 23.8; 11/20/25 : 25; 3/18/26 : 28.5

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)  
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —  
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View  
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)  
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## INDUSTRY COVERAGE: Hong Kong/China Transportation & Infrastructure

| COMPANY (TICKER)                                     | RATING (AS OF) | PRICE* (05/19/2026) |
|------------------------------------------------------|----------------|---------------------|
| <b>Qianlei Fan, CFA</b>                              |                |                     |
| Air China Limited (601111.SS)                        | O (02/09/2026) | Rmb6.78             |
| Air China Limited (0753.HK)                          | O (01/13/2025) | HK\$4.65            |
| Beijing-Shanghai High-Speed Railway (601816.SS)      | O (07/03/2020) | Rmb4.98             |
| BOC Aviation (2588.HK)                               | O (03/21/2022) | HK\$77.95           |
| Cathay Pacific Airways (0293.HK)                     |                | HK\$12.07           |
| China Eastern Airlines (600115.SS)                   | O (02/09/2026) | Rmb4.15             |
| China Eastern Airlines (0670.HK)                     | O (01/13/2025) | HK\$3.56            |
| China Merchants Energy Shipping Co. Ltd. (601872.SS) | O (03/10/2020) | Rmb17.48            |
| China Southern Airlines (600029.SS)                  | O (02/09/2026) | Rmb5.35             |
| China Southern Airlines (1055.HK)                    | O (01/13/2025) | HK\$3.80            |
| COSCO SHIPPING Energy Transportation (1138.HK)       | O (01/12/2023) | HK\$17.72           |
| COSCO SHIPPING Energy Transportation (600026.SS)     | O (11/25/2025) | Rmb21.69            |
| COSCO Shipping Holdings Ltd (601919.SS)              | U (07/15/2024) | Rmb14.02            |
| COSCO Shipping Holdings Ltd (1919.HK)                | U (07/15/2024) | HK\$14.63           |
| J&T Global Express Ltd (1519.HK)                     | E (08/21/2024) | HK\$9.10            |
| Orient Overseas (International) Ltd (0316.HK)        | U (07/15/2024) | HK\$139.10          |
| Pacific Basin Shipping (2343.HK)                     | E (07/04/2025) | HK\$3.37            |
| S.F. Holding Co Ltd (002352.SZ)                      | E (09/01/2025) | Rmb35.29            |
| SITC International Holdings Company (1308.HK)        | E (01/12/2023) | HK\$33.96           |
| Spring Airlines (601021.SS)                          | O (08/31/2015) | Rmb45.58            |
| TravelSky Technology (0696.HK)                       | U (01/13/2025) | HK\$9.48            |
| ZTO Express (ZTO.N)                                  | O (11/21/2016) | US\$23.55           |
| <b>Tenny Song</b>                                    |                |                     |
| Beijing Capital Int'l Airport (0694.HK)              | U (09/23/2025) | HK\$1.85            |
| Guangzhou Baiyun Int'l Airport (600004.SS)           | E (09/23/2025) | Rmb8.38             |
| JD Logistics, Inc. (2618.HK)                         | O (03/09/2026) | HK\$13.93           |

|                                            |                |          |
|--------------------------------------------|----------------|----------|
| Shanghai International Airport (600009.SS) | E (09/23/2025) | Rmb25.71 |
| STO Express Co Ltd (002468.SZ)             | E (10/22/2024) | Rmb15.79 |
| YTO Express Group Co Ltd (600233.SS)       | O (09/11/2025) | Rmb19.46 |
| YUNDA Holding Co Ltd (002120.SZ)           | U (07/29/2020) | Rmb7.47  |

Stock Ratings are subject to change. Please see latest research for each company.  
\* Historical prices are not split adjusted.